

Opportunity cost

Opportunity cost is the value of the best alternative given up when a choice is made. A student who spends an evening studying instead of working gives up the wages from that shift. The opportunity cost is those forgone wages, not every possible activity added together. Scarcity forces people to choose between competing uses of limited time and resources.

Price elasticity

Price elasticity of demand measures how strongly the quantity demanded responds to a change in price. It equals the percentage change in quantity demanded divided by the percentage change in price. Demand is elastic when the absolute value exceeds one. When demand is elastic, raising the price reduces total revenue because the fall in sales volume outweighs the higher price per unit.

Inflation

Inflation is a sustained increase in the general price level. It reduces the purchasing power of money: the same amount of currency buys fewer goods and services. The consumer price index tracks the cost of a representative basket over time. An increase in one product's price alone is not necessarily inflation across the economy. Real wages adjust nominal wages for changes in the general price level.